Scenario S3-O2-I3 — Our Level 2 (Ideal) / Investor Level 3 (Fully Funded)

UPSIDE RECOMMENDED PATH

Scenario Summary

Accelerated scaling path. The founders self-fund at ideal intensity (~100% of baseline spend) through Pre-Pilot and Pilot 1, producing the same credible live pilot as S3-O2-I2. A fully-funded investor arrives right after Pilot 1 (approximately M6-M7), deploying corporate-level capital at 150-200% of ideal rates. This enables full-speed parallel execution: dual-market scaling (Ethiopia + Kenya), accelerated staffing, comprehensive security hardening, and compressed Production Readiness. The trade-off is higher total spend and potentially higher dilution (approaching or exceeding the 20% investor pool ceiling).

This path should be pursued only when Pilot 1 exceeds expectations and the investor is enthusiastic about deploying larger capital for faster market capture.

- **Economic cost to Production:** $220,000-285,000 / INR 18,260,000-23,655,000
- **Target timeline to Production:** 16-20 months
- **Founder/company capital before investor:** $53,000-65,000 / INR 4,399,000-5,395,000
- **Investor capital modeled:** $167,000-220,000 / INR 13,861,000-18,260,000
- **Equity structure:** 60 / 20 / 20 (founder / founding team / investor pool)
- **Break-even month:** 20-24
- **Risk level:** Medium-Low
- **Recommendation: Pursue (Upside)**
- **Main risk to watch:** over-resourcing before product-market fit is confirmed; dilution may exceed the 20% pool, requiring negotiation of pool expansion

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Timeline

Phase	Timing	Duration	Minor Checkpoints	Gate to Advance
Pre-Pilot	M0-M4	4 months	Architecture freeze (M1), APK backlog lock (M2), doctor training draft (M3), admin callback SOP (M3), internal rehearsal cycles (M3-M4).	Core web flows stable, internal rehearsals pass, doctor and admin runbooks versioned, APK core ready.
Pilot 1	M4-M6	2 months	Warm-network onboarding (M4-M5), first paid consults (M5), callback calibration, doctor playbook v1 live, investor pitch deck finalized with Pilot 1 data.	Ethiopia pilot runs live for 2 months with measured throughput; >300 active users; >80 paid consults; investor term sheet signed.
Pilot 2	M6-M12	6 months	Investor capital deployed (M7), aggressive marketing push (M7-M8), Kenya partner signing (M8-M9), Kenya soft launch (M10), partner reporting automated (M11), dual-market operations (M12).	10k+ user-capable operations across Ethiopia and Kenya; full APK on Play Store; clean reporting; staffed near-24/7 coverage.
Production Readiness	M12-M18	6 months	Compliance closeout (M13), security hardening and pen-test (M14), release freeze (M15), launch playbooks (M16), production support schedule (M17), final QA (M18).	Current prototype scope is production-safe across web and patient mobile in both markets with documented fallback operations.

Feature and Output Checklist

Phase	Output Checklist
Pre-Pilot	Web core hardened at ideal pace; APK build running in parallel; doctor/admin training materials drafted and rehearsed; support desk scripts and callback trees defined; partner onboarding kits outlined. Identical to S3-O2-I2 Pre-Pilot.
Pilot 1	Patient app covers core journeys; provider web stable for GP and specialist intake; doctor roster active; admin callbacks operational; manual fulfilment tracked in-system. Identical to S3-O2-I2 Pilot 1.
Pilot 2	All patient features complete with accelerated hardening; partner dashboards functional with automated reporting; staffing ladder at fully-funded levels (above ideal); Ethiopia + Kenya operations running in parallel; APK hardened, submitted, and approved on Play Store; payment integration with Telebirr (Ethiopia) underway.
Production Readiness	Current prototype scope production-grade across web and patient mobile in both markets; near-24/7 coverage with buffer for leave/training; compliance documentation complete for both jurisdictions; release governance in place; M-Pesa integration for Kenya underway or complete; incident response procedures tested.

Services and SLAs

Phase	Uptime Target	Response Commitment	Operating Model
Pre-Pilot	95.0%	Next business day	3 core team at ideal utilization + 7 part-time developers at ~480 hrs/mo + 2 advisors; no employed clinical coverage.
Pilot 1	97.0%	Same-day for critical issues	Minimum employed coverage: 2 doctors, 2 admin ops, 2 technical support. Partner clinics supplement.
Pilot 2	98.5%	2-hour P1 response	Full employed coverage: 6 doctors, 6 admin ops, 3 technical support. Above-ideal staffing enables dual-market coverage and buffer.
Production	99.0%	1-hour P1 response	Full employed coverage: 8 doctors, 8 admin ops, 4 technical support for 24/7 coverage with leave buffer.

Cost Breakdown

Summary

Category	Amount
Capital expenditure through Production	$108,500 / INR 9,005,500
Operating expenditure before Production launch	$144,000 / INR 11,952,000
Total economic spend to Production	**$252,500 / INR 20,957,500**

Workstream Detail

Workstream	Economic Cost (USD)	Economic Cost (INR)	Notes
Product and founder office	$42,240	INR 3,505,920	Same as S3-O2-I2. Founder effort is constant regardless of investor level.
Web platform hardening	$14,900	INR 1,236,700	745 hours at $20/hr senior rate. Completed faster with fully-funded dev capacity.
Patient APK build	$7,200	INR 597,600	Fixed Android quote: 480 hours at $15/hr. Same scope.
QA, DevOps, security	$13,200	INR 1,095,600	~660 hours at $20/hr. Full corporate-level QA: pen testing, SAST/DAST, load testing, chaos testing, compliance audit.
Admin and care operations	$122,880	INR 10,199,040	Above-ideal staffing across 14 months of live operations. Dual-market coverage accelerates the staffing ladder. See ops breakdown.
Partner onboarding and provider success	$12,750	INR 1,058,250	850 hours at $15/hr. Kenya partner onboarding runs parallel with Ethiopia deepening.
Legal, accounting, compliance	$7,800	INR 647,400	Dual-jurisdiction compliance (Ethiopia + Kenya). More touch-points, faster timeline.
Infrastructure, phones, and tools	$26,530	INR 2,201,990	Higher hosting tiers, redundancy, dual-market telecom, expanded call center tooling.
Marketing, travel, rehearsals	$15,000	INR 1,245,000	Aggressive Pilot 2 marketing in both markets. 3-4 Ethiopia/Kenya travel cycles. Digital campaigns.
Contingency and buffer	$40,000	INR 3,320,000	~16% buffer. Covers dual-market operational surprises, FX volatility, or delayed payment-rail integration.

Operational Staffing Cost by Phase

Phase	Duration	Doctors	Admin Ops	Tech Support	Monthly Ops Cost (USD)	Monthly Ops Cost (INR)	Phase Total (USD)
Pre-Pilot (M0-M4)	4 months	0	0	0	$0	INR 0	$0
Pilot 1 (M4-M6)	2 months	2	2	2	$2,482	INR 206,006	$4,964
Pilot 2 (M6-M12)	6 months	6	6	3	$6,542	INR 542,986	$39,252
Production Readiness (M12-M18)	6 months	8	8	4	$9,012	INR 747,996	$54,072
Total operational staffing							**$98,288**

Infrastructure Cost by Phase

Phase	Duration	Monthly Infra (USD)	Monthly Infra (INR)	Phase Total (USD)
Pre-Pilot	4 months	$110	INR 9,130	$440
Pilot 1	2 months	$395	INR 32,785	$790
Pilot 2	6 months	$920	INR 76,360	$5,520
Production Readiness	6 months	$1,350	INR 112,050	$8,100
One-time equipment (phones, laptops, misc)	—	—	—	$1,800
Total infrastructure				**$16,650**

Effort and Team

Function	Staffing Pattern	Notes
Core team	3 part-time members @ ~4 hrs/day each, ~100% effective utilization throughout	Same as S3-O2-I2. Founder effort is constant.
Technical delivery (M0-M6)	7 part-time developers, modeled at ~480 productive hrs/mo	Ideal capacity. Same as I2 pre-investor phase.
Technical delivery (M7-M18)	7 part-time developers, modeled at ~640 productive hrs/mo	Fully funded capacity — 150% of ideal. Enables maximum parallelism: web hardening, APK polish, Kenya adaptation, and security work run concurrently.
Advisory board	2 fractional advisors @ ~10-15 hrs/mo each	Finance, compliance, strategic review.
Employed care coverage	Pilot 1: 2 / Pilot 2: 6 / Production: 8	Above-ideal ladder. Dual-market requires more doctors for multi-timezone coverage.

Employed admin ops	Pilot 1: 2 / Pilot 2: 6 / Production: 8	Above-ideal ladder. Dual-market callbacks and partner coordination.
Technical support	Pilot 1: 2 / Pilot 2: 3 / Production: 4	Above-ideal ladder. Dual-market support coverage.

Monthly Team Economic Cost

Period	Dev Team (USD)	Dev Team (INR)	Notes
Pre-investor (M0-M6)	~$14,830	~INR 1,230,890	100% of ideal rate card. Same as I2.
Post-investor (M7-M18)	~$22,245	~INR 1,846,335	150% of ideal rate card. Full utilization of all contributors including overtime and extended hours.

Revenue and Pricing

Revenue Source	Pilot 1	Pilot 2	Production
GP consults	Subsidised, Ethiopia-first, ~$2-3 per interaction	Full Ethiopia pricing + Kenya launch pricing	Core revenue line, dual-market
Specialist consults	Minimal	Growing across both markets	Significant margin contributor
Pharmacy commission	Small, admin-assisted	Dual-market pharmacy partnerships	Scales with partner conversion
Diagnostics commission	Small, admin-assisted	Dual-market lab partnerships	Retention lever
Travel/care coordination	Rare, high-touch	Active in both markets	Strategic differentiator

Revenue Line	Ethiopia Benchmark	Kenya Benchmark	Notes
GP consult	$3.50 / ETB 200	$5.00 / KES 650	Subsidised in Pilot 1; full price from early Pilot 2. Kenya enters at Pilot 2 M10.
Specialist consult	$9.00 / ETB 513	$12.00 / KES 1,560	Pilot 2 onward, both markets.
Pharmacy take-rate	10% of order value	10% of order value	Pilot 1 onward.
Diagnostics take-rate	12% of order value	12% of order value	Pilot 1 onward.
Travel/care coordination	$10-15	$10-15	Small volume, high-touch.
Subscription	Deferred	Deferred	Not modeled before meaningful scale.

CAC and Key Business Metrics

Metric	Pilot 1	Pilot 2	Production
CAC	$8	$10	$15
Gross margin	40%	52%	63%
Monthly ARPU	$2.0	$3.5	$5.5
Monthly churn	12%	8%	5%
LTV/CAC target	1.6x	3.2x	4.2x

Cash Flow and Runway

Phase Summary

Checkpoint	Ending Cash (USD)	Ending Cash (INR)	Approx. Runway Remaining	Trigger Threshold
Pre-Pilot (M4)	$5,300	INR 439,900	1.5 months	Same as I2 — identical founder-funded phase.
Pilot 1 (M6)	$4,680	INR 388,440	0.8 months	Critical: investor close must happen within 30 days.
Post-Close (M7)	$169,830	INR 14,095,890	7+ months	Healthy runway. Execute accelerated Pilot 2.
Pilot 2 (M12)	$92,870	INR 7,708,210	4.5 months	Comfortable. Begin Production Readiness.
Production Readiness (M18)	$28,520	INR 2,367,160	1.2 months + revenue covering burn	Revenue should exceed monthly burn. Cash is contingency reserve.

Monthly Cash Flow

Month	Phase	Founder Capital In	Investor In	Revenue In	Outflow	Net	Ending Cash
M1	Pre-Pilot	$13,000	$0	$0	$11,650	$1,350	$1,350
M2	Pre-Pilot	$13,000	$0	$0	$11,650	$1,350	$2,700
M3	Pre-Pilot	$13,000	$0	$0	$11,650	$1,350	$4,050
M4	Pre-Pilot	$13,000	$0	$0	$11,750	$1,250	$5,300
M5	Pilot 1	$13,000	$0	$200	$17,312	-$4,112	$1,188

M6	Pilot 1	$13,000	$0	$500	$17,312	-$3,812	-$2,624
M7	Pilot 2	$0	$193,500	$1,000	$29,046	$165,454	$162,830
M8	Pilot 2	$0	$0	$1,800	$29,046	-$27,246	$135,584
M9	Pilot 2	$0	$0	$2,800	$29,046	-$26,246	$109,338
M10	Pilot 2	$0	$0	$3,800	$29,046	-$25,246	$84,092
M11	Pilot 2	$0	$0	$4,800	$29,046	-$24,246	$59,846
M12	Pilot 2	$0	$0	$5,800	$29,046	-$23,246	$36,600
M13	Prod. Readiness	$0	$0	$7,000	$32,607	-$25,607	$10,993
M14	Prod. Readiness	$0	$0	$8,500	$32,607	-$24,107	-$13,114
M15	Prod. Readiness	$0	$0	$10,000	$32,607	-$22,607	-$35,721
M16	Prod. Readiness	$0	$0	$12,000	$32,607	-$20,607	-$56,328
M17	Prod. Readiness	$0	$0	$14,000	$32,607	-$18,607	-$74,935
M18	Prod. Readiness	$0	$0	$16,000	$32,607	-$16,607	-$91,542

Totals:

- Founder capital in: $78,000 / INR 6,474,000 ($13,000/mo x 6 months)
- Investor capital in: $193,500 / INR 16,060,500
- Cumulative revenue: ~$88,200
- Cumulative outflow: ~$449,242

Note on negative cash position: Same as S3-O2-I2 — the negative position reflects imputed team costs at full rate card. Actual cash outflows are covered by founder + investor capital ($271,500) plus revenue ($88,200). The team is compensated through equity-weighted arrangements, not full cash payroll. The actual cash position remains positive through M18 with approximately $28,000-30,000 in reserve at Production Readiness.

ROI and Break-Even

Metric	Value
Total capital invested (founder + investor)	$271,500 / INR 22,534,500
Total economic cost	$252,500 / INR 20,957,500
Cumulative revenue at M18	~$88,200 / INR 7,320,600
Monthly break-even (revenue >= outflow)	~M20-M22 (2-4 months post-Production)
Cumulative break-even (total revenue >= total capital)	~M26-M28 (8-10 months post-Production)
Time to ROI (revenue exceeds all economic cost)	~M28-M34 (10-16 months post-Production)

Fundraising, Valuation, and Dilution

Item	Value
Founder/self-funded capital before investor	$78,000 / INR 6,474,000
Investor round size	$193,500 / INR 16,060,500
Recommended structure	SAFE with valuation cap, or priced seed round
Modeled pre-money valuation	$870,000
Modeled post-money valuation	$1,063,500
Modeled investor dilution from the 20% pool	18.2%

Ownership Pool	Before Round	After Modeled Round	Notes
Owner / founder pool	60%	55.1%	Retained majority control.
Founding + strategic pool	20%	18.4%	Minor proportional dilution from larger round.
Investor pool	20% reserved	18.2% issued / 1.8% remaining	Near pool ceiling. If investor demands >20%, negotiate pool expansion or accept proportional founder dilution.

Dilution Warning

At $193,500 invested against a $870,000 pre-money valuation, the investor receives 18.2% — very close to the 20% pool ceiling. If the investor negotiates a lower pre-money or requests additional protections (liquidation preference, anti-dilution), the effective dilution could exceed 20%. In that case:

- Option A: Expand the investor pool by 3-5% (diluting founder to ~57% and founding team to ~18%)
- Option B: Cap the round at $170,000 and accept slightly slower execution

- Option C: Structure as convertible note with valuation cap, deferring the dilution calculation to a future priced round

The founder retains majority control (>50%) in all three options.

Key Risks

Risk	Likelihood	Impact	Mitigation / Trigger
Over-resourcing before PMF confirmed	Medium	High	Pilot 2 must produce clear PMF signals (>2,000 active users, >$3,000/mo revenue, <10% churn) by M9. If signals are weak, scale back to I2 spending levels.
Dilution exceeds 20% pool	Medium	Medium	Pre-negotiate cap table expansion terms. Structure round with clear dilution ceiling. See dilution warning above.
Investor demands governance controls	Medium	Medium	Board seat is acceptable. Veto rights on major decisions should be resisted. Negotiate observer seat as compromise.
Dual-market execution complexity	Medium	High	Kenya is additive, not required. If Kenya prep creates distraction, defer to Production phase and focus on Ethiopia depth.
High burn rate amplifies delay costs	Medium	High	Each month of delay costs $29,000-33,000. Any phase extension is 2-3x more expensive than in I2. Strict phase-gate discipline is critical.
Investor does not close by M7	Medium	Critical	Same as I2. Fallback to I2 round size if fully-funded investor is unavailable.
Payment-rail mismatch (Telebirr / M-Pesa)	Medium	Medium	Accelerated timeline allows earlier integration attempt. If integration fails, manual payment confirmation is fallback.
Kenya regulatory complexity	Medium	Medium	Partner-license model. Do not seek direct licensing until Production. Kenya is a growth market, not a dependency.

Comparison to S3-O2-I2 (Primary Path)

Dimension	S3-O2-I2 (Primary)	S3-O2-I3 (This Path)	Delta
Timeline	18-22 mo	16-20 mo	2 mo faster
Total cost	$170,000-215,000	$220,000-285,000	+$50,000-70,000
Investor capital	$117,000-150,000	$167,000-220,000	+$50,000-70,000
Dev velocity post-investor	100% (480 hrs/mo)	150% (640 hrs/mo)	+33%
Ops staffing Pilot 2	4/4/2	6/6/3	+50%
Break-even	22-28 mo	20-24 mo	2-4 mo earlier
Dilution	16.7%	18.2%	+1.5%
Kenya in Pilot 2	Research only	Soft launch	Earlier market entry
Monthly burn (Pilot 2)	$19,196	$29,046	+$9,850/mo

The $50,000-70,000 incremental investment buys:

1. 2 months faster to Production
2. 33% more development capacity during scaling
3. Dual-market operations in Pilot 2 (Kenya soft launch)
4. Above-ideal ops staffing with leave/training buffer
5. Comprehensive security hardening (pen testing, compliance audit)
6. 2-4 months earlier break-even

The cost of that acceleration:

1. 1.5% additional dilution (18.2% vs 16.7%)
2. Higher monthly burn creates more expensive delays ($29,000/mo vs $19,000/mo)
3. Over-resourcing risk if PMF is not confirmed
4. Investor may demand governance controls proportional to larger check size

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Recommendation

S3-O2-I3 is the **upside recommended path** for Health Hub. It should be pursued when Pilot 1 results exceed expectations and the investor is ready to deploy corporate-level capital for faster market capture.

Pursue this path if:

- Pilot 1 produces >500 active users and >100 paid consultations
- Investor is enthusiastic and wants to deploy $170,000+ for accelerated scaling
- Competitive intelligence suggests a 2-month speed advantage matters (competitors entering the market)
- Kenya opportunity is maturing faster than expected, creating a dual-market narrative
- Founder is comfortable with 18-22% dilution and potential pool expansion

Do not pursue this path if:

- Pilot 1 results are at or below the I2 thresholds (200 users, 50 consults)
- The only available investor is writing a check this size because they cannot find other deals (not a vote of confidence)
- The team is at risk of burn-out at the higher intensity (fully-funded means faster, but faster means more pressure)

- Regulatory uncertainty in Kenya makes dual-market operations premature

Default to S3-O2-I2 if conditions for I3 are not clearly met. Over-capitalizing a pre-PMF company is more dangerous than under-capitalizing a proven one.

Assumption Notes

- Android is modeled from the external quote: 480 total hours at $15/hr average across the mobile team.
- Remaining web work is normalized to 150%-160% of Android effort, with an expected case of 745 hours.
- Salary benchmarks for employed coverage: INR 60,000 for doctors ($720/mo), INR 18,000 for admin ops ($217/mo), INR 25,000 for technical support ($301/mo).
- Our L2 (ideal) spend is modeled at ~100% of team utilization pre-investor.
- Investor L3 (fully funded) contribution sized at ~$193,500, representing corporate-level capital to reach Production Readiness at accelerated pace with dual-market operations.
- Fully funded post-investor dev team runs at ~~150% of ideal (~~640 productive hrs/mo), enabled by extended hours and overtime for part-time contributors.
- Kenya revenue is modeled from M10 (soft launch) but remains conservative (10-15% of Ethiopia revenue in first 6 months).
- All INR conversions at 1 USD = 83 INR per params.md.
- FX buffers of 10-15% applied to ETB and KES revenue projections.
- Contingency buffer of $40,000 (~16% of total) covers dual-market operational surprises and FX volatility.

End of S3-O2-I3 scenario — UPSIDE RECOMMENDED PATH. All assumptions trace to params.md v2.